Forecasting Next-Week Volatility of S&P 500 Stocks

Milestone 2: data wrangling and project redefinition

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CS1090A / AC209A, Fall 2026 Group 38, project 12 TF: Daniel More Torres

The question and why it matters

- Returns are close to unpredictable; **volatility clusters**, so it can be forecast.
- Volatility forecasts size positions, set risk limits and price options.
- HAR (Corsi, 2009), a regression on last day, week and month of volatility, is hard to beat.
- **Our question**: with free daily data, does one pooled model with cross-sectional features beat HAR fit stock by stock, out of sample, and in which market regimes?

The data

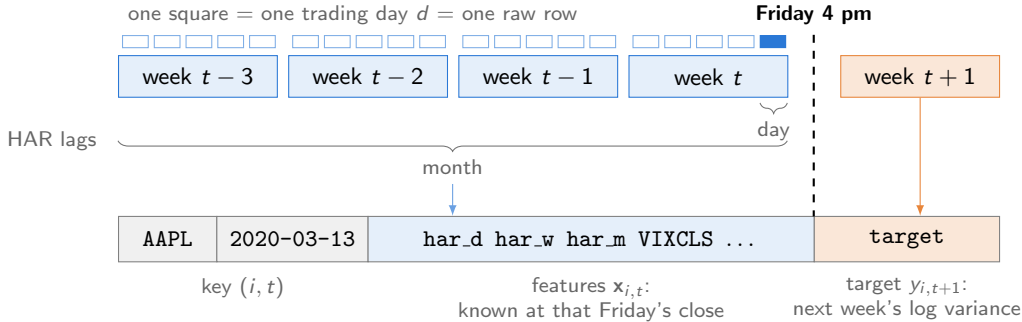
Source	Rows	One row is	Key → values	Access
S&P 500 [1]	1.35M	a member on a date	(d, i)	GitHub
FRED [2]	5.7K	a market day	$d \to$ VIX, VIX3M, credit, slope, T-bill	Website
Yahoo Finance [3]	3.21M	a stock's day	$(d, i) \to$ OHLCV	`yfinance`
SEC EDGAR [4]	53K	an earnings filing	$(i, \tau) \to$ SIC code	REST API
Alpaca [5]	1.72M	a stock's day†	$(d, i) \to$ OHLCV, RV	REST API
CRSP[1] [6]	3.75M	a stock's day†	$(d, i) \to$ OHLCV	WRDS SQL

OHLCV: open, high, low, close, volume. RV: realized variance. SIC: industry code. †Incl. delisted stocks.

- **Notation**: d a trading day; i a stock ticker, e.g. AAPL; τ a filing time.
- **Range**: prices 2005–2026; Alpaca from 2016, CRSP to 2025; members since 1996.
- **Cached**: every fetch is cached, so the notebook needs no keys.

[1] CRSP is the reference price database in finance research, built at the University of Chicago; we query it through WRDS, Wharton's (UPenn) research data service, under Harvard's license.

What one row is

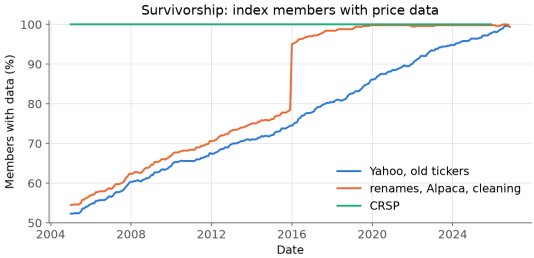


- **Raw table**: one row per (d, i); 3,423,011 rows = Yahoo's 3.21M + Alpaca's 215K delisted.
- **Modeling table**: one row per (i, t), t a week ending Friday; 473,684 rows $\times$ 183 columns.

Learn $\mathbf{x}_{i,t} \longmapsto y_{i,t+1}$

the stock-by-period panel of Gu et al. [7]

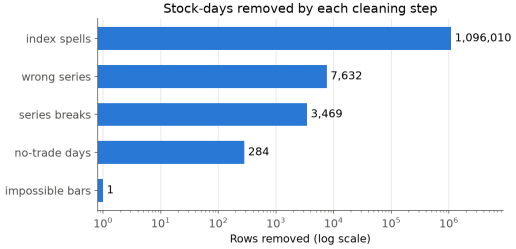
Who is missing: survivorship



Why check: each week we forecast every index member, including firms that later leave; no one knows in advance which will.

- Yahoo keeps only firms still listed today: coverage 55% of 2005 members, 99.8% in 2026.
- Alpaca keeps delisted firms, but only from 2016: the jump.
- Before 2016, firms that left (acquired or bankrupt) are missing: not a random sample.
- CRSP check, 2005–2015: 191,083 vs 286,597 stock-weeks; the firms we keep are slightly calmer (mean log variance 0.04 lower).
- From 2019 under 1% missing: the test period is barely affected.

Cleaning the raw prices: identity, then values



Identity: is each row the index member on that day?

1. **Wrong time**: tickers are reused (today's FB is an ETF), so keep rows near each index spell.
2. **Wrong company**: 9 series are another security (Yahoo's PARA near $100,000).
3. **Company switch**: 4 series change firm on a date (JCI before 2016 is Tyco).

Values: 1 impossible bar, 284 zero-volume days removed.

Unusual values kept: 80 days with high = low, so zero Garman–Klass variance (floored at 10^{-6}); the largest daily returns are real events (Fannie Mae −90% in 2008, SVB −60% in 2023).

3,423,011 → 2,315,615 stock-days. No rule reads later rows.

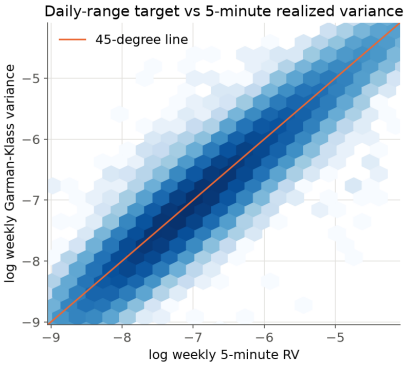
The modeling table: missing values and feature scale

Missing values: no cell is missing in the clean prices; gaps appear once features are built.

Column	Missing	Why
3-month VIX (`VXVCLS`)	9.2%	series starts December 2007
earnings timing	7–8%	delisted firms are absent from SEC's current ticker list
60-day Alpha158 windows	1.0%	first weeks after a firm enters the index

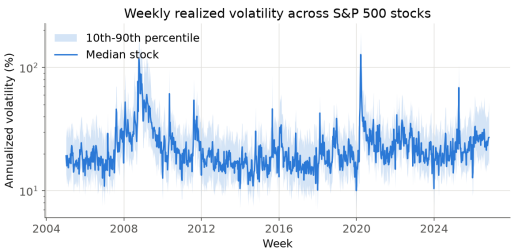
- **No row is dropped.** Boosted trees take NaN; ridge and lasso impute the training-window median plus a missing-value indicator. Milestone 3 compares imputation choices.
- **Scale**: feature standard deviations run from 0.004 to 14, so ridge and lasso standardize every feature inside each training window; trees need no scaling.

Volatility from daily prices lines up with 5-minute data



- **We predict** how much each stock will move next week (its variance).
- **We measure it** from each day's open, high, low and close (Garman–Klass, 1980): $\log \sum_{d \in \text{next week}} \left[\frac{1}{2} \log^2 \frac{H_d}{L_d} - (2 \log 2 - 1) \log^2 \frac{C_d}{O_d} \right]$
- **We checked it** against 5-minute data for 697 companies: correlation 0.95, and 0.94 within a single company.
- **We leave out** the jump from one day's close to the next day's open (the overnight move), a median 27% of a stock's daily variance in 2005–2018.

Volatility spikes in a few rare weeks (stress weeks)



- **Stress week:** VIX, the market's fear gauge, is 30 or more at the week's close, so we know it before we forecast.
- **How often:** 89 of 1,139 weeks, mostly 2008–09, 2011, 2020 and 2022.
- **In the test years:** 29 stress weeks, 16 of them in 2020. The tuning years have 1.

How we keep future data out of the forecast (leakage)

Risk	Control	Enforced by
a feature sees next week's prices	each feature uses only days up to Friday's 4 pm close	`features.py` test: adding later weeks changes no earlier value
earnings news after the 4 pm close	an earnings filing (8-K) after 4 pm counts for the next week	`features.py` test: a 4:30 pm Friday filing counts next week
picking stocks from today's S&P 500 list	each date uses that day's index members	`clean.py` test: a stock counts only between entry and exit
VIX closes at 4:15 pm, after stocks	Friday's 4:15 pm close is used only for next week	`features.py` test: each week gets that Friday's VIX
training weeks run into the test weeks	a one-week gap, as each target looks a week ahead	not yet: the split code comes in Milestone 3

Still in progress: checking when each data source first published its values.

Revised question

Train 2005–2015, tune 2016–2018, test 2019–2026. Each test year we refit on all earlier data.

1. **Accuracy.** Do ridge, lasso, and gradient-boosted trees, trained on all stocks together, beat HAR fit one stock at a time? We score mean QLIKE and MSE. A Diebold–Mariano test at 5%, on the average loss each week with Newey–West errors, tells us if the gap is real. Every model is scored on the same rows. We also fit a pooled HAR with a constant per stock, so we can see what pooling adds and what the extra features add. Forecasts are logs, so QLIKE uses the exponential of the forecast, with Duan's (1983) smearing correction from training only.

2. **Where a gain comes from.** We drop one feature block at a time and refit. We then check whether the gain points the same way in calm weeks and in stress weeks, with a Holm correction across these tests.

What changed. We dropped the portfolio backtest. Earnings dates come from the 8-K filing time. Fundamentals wait, because XBRL starts in 2009. We added Alpha158. A stress week is a Friday when the VIX closes at 30 or above.

Staff notes and the AC209A requirement

Staff note	What we do
omit economic value, Sharpe, drawdown, factor regression	dropped entirely
prioritize regularized regression and boosted trees	the two pooled models of Q1
clustering and neural networks optional	only if time remains after Q1 and Q2
yfinance can fail; delisted stocks missing	cached fetches; renames, wrong series and Alpaca fill; coverage reported
XBRL only from mid-2009	fundamentals deferred
AC209A: one method not covered in class	Diebold–Mariano test on QLIKE; HAR and GARCH(1,1) are the baselines

Next steps and questions for you

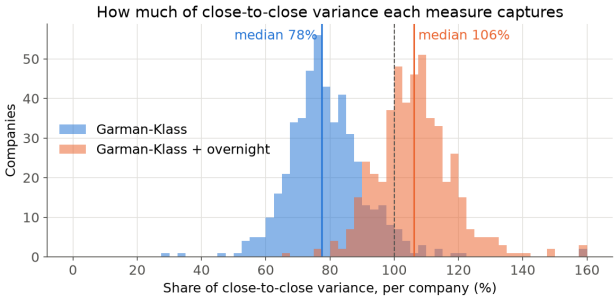
Milestone 3 (proposed owners)

- HAR (per stock, and pooled with a constant per stock) and GARCH baselines: Simon
- ridge and lasso: Shuo
- gradient-boosted trees: Ashley
- QLIKE, MSE, Diebold–Mariano: Terry
- data upkeep and CRSP: Juntang

Questions

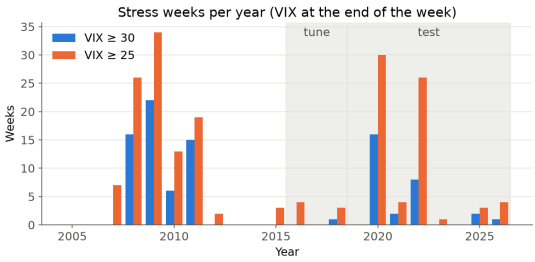
1. May Milestone 3 train on CRSP (WRDS) to 2025 and use free data for 2026 to reduce pre-2016 survivorship bias?
2. Does the Diebold–Mariano test on QLIKE meet the AC209A requirement?
3. Yearly expanding refits on 2019–2026, or one fit?
4. Target: trading-hours variance as now, or add the overnight term back?

Backup: what the daily range misses



- 477 companies, 2005–2018 only (train and tune years), days inside the index spell. Each share sums a company's days, so 2008–09 weighs most.
- Overnight is a median 27% of close-to-close variance (19% to 37%, 10th to 90th percentile): 25% in 2005–09 and 30% in 2010–18 for the 317 companies in both.
- Earnings released after the close show up in this move.
- `rv_overnight` is already a column in the weekly table.

Backup: stress weeks by split



Split	Weeks	VIX ≥ 30	episodes	VIX ≥ 25
train	573	59	8	104
tune	157	1	1	7
test	409	29	13	68

- Tuning (2016–18) has 1 stress week at VIX ≥ 30.
- 16 of the test's 29 stress weeks are in 2020.

References

[1] Farrell Aultman. sp500: Current and historical lists of S&P 500 components since 1996. https://github.com/fja05680/sp500, 2026. GitHub repository, commit a2430f2 of 2026-09-07.

[2] Federal Reserve Bank of St. Louis. FRED, Federal Reserve Economic Data. https://fred.stlouisfed.org, 2026.

[3] Ran Aroussi. yfinance: Download market data from Yahoo! Finance's API. https://github.com/ranaroussi/yfinance, 2026. Python package.

[4] U.S. Securities and Exchange Commission. EDGAR application programming interfaces. https://www.sec.gov/search-filings/edgar-application-programming-interfaces, 2026.

[5] Alpaca Markets. Market data API. https://docs.alpaca.markets/docs/about-market-data-api, 2026.

[6] Center for Research in Security Prices. CRSP US stock database. Wharton Research Data Services, https://wrds-www.wharton.upenn.edu, 2026. Daily stock file and S&P 500 constituents to 2025-12-31.

[7] Shihao Gu, Bryan Kelly, and Dacheng Xiu. Empirical asset pricing via machine learning. *The Review of Financial Studies*, 33(5):2223–2273, 2020. doi: 10.1093/rfs/hhaa009.